

The Complete Financial Guide for Young Couples

Remember that you're not raising children; you're raising future adults, and in our society checking accounts are a fact of life. Don't let your children leave home without the basic skills for survival. Teach your daughter to maintain and balance her checkbook properly, and one day your future son-in-law will fall down and call you blessed.

A small bribe in this area often helps motivate teenagers. In other words, promise them a financial reward for maintaining their checking accounts perfectly.

I would suggest a bonus of \$100 (or whatever your budget can handle) for maintaining and balancing their checking accounts for a year. I would further encourage you to let them spend this money as they see fit (within reason) to give them additional incentive.

(4) *Credit cards*. Contrary to popular opinion, I do recommend allowing children to use credit cards. Remember, credit cards are *not* the problem. It is the *misuse* of credit cards that creates the problems.

I personally believe it would be better if young couples didn't have access to so much credit. But in a society where the whole economy runs on debt, credit is a fact of life. So it's best to teach your children how to manage and control it, not vice versa.

I would suggest allowing them to have a credit card in their name at about age 17 or 18. The rules for using the card should be clear, written, and absolute:

- The card can be used *only* for budgeted items—clothes, gas, tires, and so on.

- The account has to be paid in full each month—no exceptions.

- The *first* month the account isn't paid, take the card back and destroy it.

I have seen parents establish these rules and then fail to enforce them because of a sad tale of circumstances told by their teenager. To fail to keep the rules is to invite more violations. If you're not committed to enforcing the rules of credit, don't let your teenagers have a credit card. All you'll do